

NG FOR BHARAT

nched at the recent India AI Impact Summit



Nikhil Malhotra, Chief Innovation Officer & Head of AI and Emerging Technologies, Tech Mahindra

Tech Mahindra is among the 12 companies selected under the IndiaAI Mission to make homegrown AI models. The company has come up with Hindi-first education-focused LLM. According to Malhotra, the model is trained exclusively on Hindi tokens and over

37 Hindi dialects, achieving 100% token density. The current iteration shifts the architecture to a Mixture of Experts model, focused deliberately on education for grades VI to XII, beginning with physics, to avoid overextension.



Srikanth Velamakanni, Co-founder, Group CEO and Executive Vice Chairman, Fractal Analytics

One of the first AI companies to go public, Fractal Analytics recently launched Vaidya 2.0, the next generation of its healthcare-focused reasoning model. According to Srikanth Velamakanni, Co-founder, Group CEO and Executive Vice Chairman, the platform is designed to function

as a comprehensive healthcare operating system. It goes beyond answering medical queries, enabling medically grounded reasoning across complex, multi-step clinical and operational scenarios aligned with real-world workflows. Velamakanni says demand is emerging across consumer, enterprise, and institutional segments, though adoption patterns vary. Consumer use cases have moved fastest due to low friction and immediate value. Enterprise adoption, however, is expected to drive the most durable spending.

hundreds of million at best,” he says. “But the potential market runs into tens of billions. The opportunity is massive, but the current base is tiny.” That gap means the market is wide open, he says. However, large-scale adoption will depend on meeting specific regulatory, security, and infrastructure conditions.

Sarvam could have an advantage in sectors such as banking and

financial services as regulatory requirements often mandate local models, locally stored data, and domestic hosting, says Mohapatra. Government use cases come with even stricter norms and require fully localised infrastructure across the stack. In sensitive environments such as defence, systems may need to operate in air-gapped environments, completely isolated

from the internet and without reliance on foreign cloud providers or external dependencies.

For large enterprises and conglomerates, though, adoption is far from automatic. Vendors must compete through rigorous technical evaluations against global cloud and AI providers. “These are not default wins,” says Mohapatra. “Enterprise decisions come down to technical bake-offs against hyperscalers and other AI players. In some cases, you win on price, in others, on performance or solution design. Sometimes, relationships matter as well.”

However, there are risks that could prevent sovereign AI from creating economic or strategic value. Kalra says the biggest risk is the AI-RoI gap—only 25% executives report finding real value in AI. Innovation depth is another challenge, as despite 2,000+ AI start-ups, India contributes less than 1% of global AI patents.

Staying competitive, however, will require huge capital. Raghavan says the scale of ambition Sarvam has set for itself will demand sustained funding. India’s sovereign AI push will not be judged by model launches but by what gets built on top of them. The real test lies ahead—whether enterprises adopt at scale, whether capital deepens, and whether applications reach millions of users across languages and sectors.

For Raghavan, the journey is measured in decades. If India can turn early capability into a thriving ecosystem of infrastructure, developers, and real-world deployments, it could move from being an AI consumer to a creator. If not, the risk he warns about remains—a future shaped elsewhere, with India merely adapting to it. **BT**

@PalakAgarwal64